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enhancing human capital and also providing support for small businesses. Skills formation and training is the need for sustainable high growth. Enabling the viability and prosperity of small businesses is also a strategy for inclusive growth. It is actually small businesses that provide more than 40 per cent of jobs, value addition and exports in the industrial sector.

Also, the part of the budget dealing with energy security—both by acknowledging hard-to-abate sectors and the continued emphasis on renewable energy, and now private participation in nuclear power—is a welcome initiative. The other prominent feature of this budget was scrupulous attention to fiscal restraint.

▶ **D.K. JOSHI:** Budget 2025 maintains prudent fiscal management by improving upon the fiscal deficit target set in the interim budget. It continues the capital expenditure thrust focused on the infrastructure build-out. Revenue spending has been raised to address some pain points. It also announces structural measures for food inflation control.

▶ **NEELKANTH MISHRA:** The government continues to prioritise macroeconomic stability, which is needed to reduce uncertainty and bring down the cost of capital, both of which are important for accelerating investment over the medium term. As economic momentum is picking up, the government is prudently withdrawing its support in a calibrated manner. Given the worryingly high government debt-to-GDP ratio (also a result of the pandemic), it will require several years of low and falling deficits, and a higher share of capital expenditure (which boosts growth for several years, unlike revenue expenditure which tends to have a lower growth multiplier), to bring debt ratios down to a comfortable level. The creation of the price stabilisation fund is also important to bring down food inflation, which is preventing the monetary policy committee from cutting interest rates.

> "The budget has correctly identified and worked on critical bottlenecks that need to be released for India to have sustained high growth"
> –ASHIMA GOYAL

▶ **MADAN SABNAVIS:** The main thrust has been on attaining the FRBM (Fiscal Responsibility and Budget Management) target of lowering the fiscal deficit by FY26 to 4.5 per cent. All proposals on taxation and expenditures are centred around this objective.

▶ **ADITI NAYAR:** The main thrust of the budget is a pragmatic balance between spending to boost India's consumption and investment potential, and fiscal consolidation.

Compared to the interim budget presented before the Lok Sabha election, there was a revenue upside available to the government at the time of preparing the full budget. We had anticipated that only around half of this revenue upside would be spent, while the other half would be used to compress the fiscal deficit. In line with our expectations, the July budget has enhanced the revenue expenditure by Rs 55,000 crore to support a number of sectors, while also providing modest tax relief. Simultaneously, it has pared the fiscal deficit to 4.9 per cent of GDP, as opposed to the Interim Budget Estimate of 5.1 per cent of the GDP, while keeping the capex target unchanged at Rs 11.1 lakh crore.